you reach the age of 59½ to be able to withdraw it without paying a penalty. If you try to take the money out before then, you may get hit with a 10% penalty, plus income tax on the amount you withdraw. There's been some talk about allowing people to make early withdrawals without penalties, but even if these plans go through, you'd have access only to a very small portion of your money.

These tough rules are meant to prevent savers from raiding their retirement plans, since withdrawals generally can't be replaced. But if you don't have any other options, you should know that the rules aren't actually as rigid as they seem. Here are the details.

Borrowing from a 401(k)

A 401(k) can be tough to crack. To withdraw money from it, you must prove to your employer that you need it for something urgent, such as paying medical bills, and that you have nowhere else to turn. But many 401(k)s do offer an escape hatch: They allow you to *borrow* the money at rates that are sometimes more favorable than a bank's. When you borrow from your 401(k), you are essentially borrowing money from yourself, and the payments you make—including interest—go right back into your own account.

WHAT TO DO IN A BAD MARKET

It's easy to panic if a large part of your retirement savings suddenly vanishes. But what if so far you've done everything right but the stock market starts plummeting? Should you keep your money in? Pull it out?

Sadly, no one knows. It's hard to time the market. If you feel like you're taking too much risk, you can shift to money market funds. This has its own risk of not keeping up with inflation. And you could miss out when stocks rise again.

One thing is clear: You should not pull your money out of a retirement plan. If you do, you'll have to pay taxes plus a stiff penalty on your withdrawal. And this is never a good thing.
